

Financial Variance Root Cause & Impact Analysis

Trigger: Sub-Target Financial Performance (ACDOCA / CO / AR)

Methodology: Fishbone & 5 Whys Diagnostics

Date: August 2026

Executive Summary: Analysis of SAP Universal Journal (ACDOCA) and Subledger metrics reveals that Net Profit and Cash Flow are lagging targets due to compressed Profit Margins, surging Cost Center overruns, and rising Days Sales Outstanding (DSO) driven by uncollected Outstanding Invoices.

1. Fishbone (Ishikawa) Root Cause Analysis

People & Organization

- **Sales Incentives:** Commission structures misaligned with cash collection (rewards top-line billing over cash realization).
- **Collections Staffing:** Inadequate headcount in AR shared services leading to delayed customer follow-ups.
- **Cost Center Ownership:** Lack of operational accountability for budget overruns among departmental managers.

Process & Workflows

- **Dunning Run Gaps:** Automated SAP dunning notices (F150) not executed on rigid weekly schedules.
- **Credit Control:** Lax credit limit checks during Sales Order creation (VA01) bypassing automatic blocks.
- **Expense Approval:** Manual, multi-tier approval bottlenecks causing retroactive cost postings.

Systems & Data (SAP S/4HANA)

- **Clearing Latency:** Unmatched bank statement lockbox feeds delaying automatic clearing (AUGBL).
- **CO Allocation Cycles:** Outdated assessment and distribution cycles misallocating overhead costs to profit centers.
- **Real-time Visibility:** Dashboard adoption lags among middle management, hiding budget burn until month-end.

Market & Environment

- **Pricing Pressure:** Aggressive competitor discounting forcing margin compression on key product lines.
- **Customer Liquidity:** Macroeconomic headwinds extending customer payment cycles across enterprise accounts.
- **Inflationary Costs:** Escalating raw material and vendor service rates inflating Total Expenses.

2. 5 Whys Methodology (Why is Net Profit Below Target?)

Level	Core Problem Statement	Diagnostic Finding & SAP Ledger Trace
Why 1	Net Profit and Cash Flow are below target.	Operating Cash Flow is restricted because cash inflows lag Total Revenue due to a high volume of Outstanding Invoices.
Why 2	Why are Outstanding Invoices abnormally high?	Days Sales Outstanding (DSO) has exceeded the 45-day threshold, with large customer balances remaining uncleared in subledger table BSID.
Why 3	Why are customer balances remaining uncleared?	Collections and credit control teams lack automated escalation workflows for overdue accounts, relying on manual reviews.
Why 4	Why is the collections workflow heavily manual?	SAP credit management integration was configured with lenient credit check horizons, allowing orders to ship without blocking overdue accounts.
Why 5	Root Cause	Root Cause: Governance disconnect between Sales KPIs (focusing purely on gross booking volume in ACDOCA) and Financial Working Capital targets, compounded by delayed bank clearing automation.

3. Business Risks of Inaction

Liquidity & Working Capital Risk **High Risk**

- Severe working capital squeeze due to mounting Accounts Receivable and delayed cash inflows.
- Inability to meet short-term vendor obligations, risking credit rating downgrades and supply chain disruptions.

Profitability & Compliance Risk **Medium Risk**

- Continued margin erosion resulting from unmonitored Cost Center overruns and unchecked departmental spending.
- Potential bad debt write-offs stemming from aged, uncollected customer receivables exceeding 90+ days.

4. Recommendations & Business Benefits

Strategic Recommendation	Actionable Implementation (SAP / Process)	Expected Business Benefits
1. Tighten Credit Control & Automation	Configure strict automatic credit checks in SD/ FI during order entry (VA01) and schedule automated weekly dunning runs (F150).	Reduces DSO by 12–15 days ; lowers outstanding invoice volume below 10% of billings.
2. Enforce Cost Center Accountability	Implement strict budget availability control in Controlling (CO-OM) with hard stop-blocks on over-budget purchase requisitions.	Controls Total Expenses ; ensures department spending stays within $\pm 2\%$ of approved budget.
3. Optimize Cash & Bank Clearing	Automate electronic bank statement (EBS) processing and lockbox feeds to accelerate customer open item clearing (AUGBL).	Improves Operating Cash Flow and provides real-time liquidity visibility to executive dashboards.
4. Align Sales Incentives with Collections	Restructure sales commission models to factor in cash realization rather than gross billing volume alone.	Aligns sales behavior with working capital goals, driving higher quality revenue and net profit.